

**Risks and Concerns**

Midwest operates across industries exposed to changes in construction activity, international demand, commodity and energy prices, freight availability, foreign-exchange movements and evolving trade conditions. The following summarises principal risks and the Company's approach to managing them.

**Resource and Geology Risk.** Granite output depends on geological quality and continuity. Variations in mineral structure, colour consistency and block yield can affect realisation and acceptance. Mitigation: geological assessment, selective extraction, multi-quarry operations and continuous quality monitoring.

**Market and Demand Risk.** Revenue remains sensitive to construction cycles, real-estate activity and customer inventory decisions. Mitigation: geographic diversification across 17 countries, a broadening portfolio and growing participation in domestic construction.

**Commodity, Energy and Freight Risk.** Diesel, electricity, explosives, abrasives and freight rates influence operating costs. Mitigation: progressive transition towards electric mining vehicles, captive solar energy and internally manufactured Diamond Wire.

**Foreign-Exchange Risk.** A material portion of revenue is denominated in foreign currencies. Rupee appreciation can compress export realisations. Mitigation: active monitoring of currency exposures and evaluation of appropriate hedging measures.

**Regulatory and Approvals Risk.** Mining and mineral-processing operations require multiple statutory, environmental and land-use approvals. Mitigation: a dedicated regulatory and compliance function and proactive engagement with relevant authorities.

**Project Execution and New-Business Risk.** Expansion into quartz, HPQ, HMS and rare earths introduces risks relating to project execution, plant stabilisation, technology validation, product

consistency and customer qualification. In rare-earth processing, current extraction recovery of approximately 87% compares with benchmark rates of 95 to 96%. Mitigation: phased capital deployment, laboratory and pilot-scale validation, experienced project teams and staged commercial scale-up.

**Geopolitical and Jurisdictional Risk.** Sri Lankan licences remain subject to the evolving policy framework. Mitigation: project readiness maintained while monitoring each jurisdiction and calibrating capital deployment accordingly.

**Concentration Risk.** A material share of natural-stone revenue derives from a limited number of product categories and export markets, with China an important destination. Mitigation: diversification across the Middle East, North Africa and domestic construction, alongside portfolio broadening into quartz, HMS and strategic materials.

**People and Capability Risk.** The transition into a broader materials enterprise requires new capabilities across mineralogy, process engineering and laboratory operations. Mitigation: continued investment in vocational training, technical capability building and leadership development.

**Cautionary Statement**

Statements in this Management Discussion and Analysis describing objectives, expectations, projections, estimates, strategies and outlook may constitute forward-looking statements within the meaning of applicable laws. Actual results may differ materially due to economic conditions, construction and industrial demand, commodity-price movements, foreign-exchange fluctuations, freight disruptions, mining and environmental approvals, resource quality, project-execution timelines, technology-development outcomes, product qualification and other factors beyond the Company's control. Readers are advised not to place undue reliance on such statements. The Company assumes no obligation to update or revise them except as required under applicable laws.

**ANNEXURE – II****Form AOC-1**

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules)

**Statement containing salient features of the financial statement of subsidiaries/associate companies/joint ventures****Part “A” : Subsidiaries****Part – I (Basic Details)**

| Sl.No | Name of Subsidiaries                             | CIN/any other registration number of subsidiary company | Date since when subsidiary was acquired | Provisions pursuant to which the company has become a subsidiary (Section 2(87)(i)/Section 2(87)(ii)) | Reporting period for the subsidiary concerned, if different from the holding company's reporting period |            | Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries:- |
|-------|--------------------------------------------------|---------------------------------------------------------|-----------------------------------------|-------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|------------|-------------------------------------------------------------------------------------------------------------------------------|
|       |                                                  |                                                         |                                         |                                                                                                       | From                                                                                                    | to         |                                                                                                                               |
|       |                                                  |                                                         |                                         |                                                                                                       |                                                                                                         |            | Reporting Currency Exchange Rate                                                                                              |
| 1     | Andhra Pradesh Granite (Midwest) Private Limited | U14102TG2007PTC054390                                   | 11.06.2007                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 2     | Midwest Neostone Private Limited                 | U26990AP2017PTC104823                                   | 17.01.2017                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 3     | AP Midwest Galaxy Private Limited                | U14299AP2022PTC123536                                   | 12.12.2022                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 4     | Deccan Silica LLP                                | AAE-1887                                                | 17.06.2015                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 5     | NDR Mining Co.                                   | AAEFN5334N                                              | 24.12.2022                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 6     | Baahula Minerals                                 | AAOFB0568Q                                              | 14.07.2014                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 7     | Maitreya Minerals                                | AAMFM8986H                                              | 14.11.2023                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 8     | BEML Midwest Limited                             | U13204AP2007PLC053653                                   | 18.04.2007                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | INR -                                                                                                                         |
| 9     | Trinco Mineral Sands Private Limited             | PV 00279311                                             | 13.06.2023                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | SLR 0.3008                                                                                                                    |
| 10    | Midwest Heavy Sands Private Limited              | PV 00266226                                             | 09.11.2022                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | SLR 0.3008                                                                                                                    |
| 11    | Reliance Diamond Tools Private Limited *         | PV 20947                                                | 22.03.2011                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | SLR 0.3008                                                                                                                    |
| 12    | Midwest Holdings Limited **                      | 2242V                                                   | 06.02.2008                              | Section 2(87)(ii)                                                                                     | 01.04.2025                                                                                              | 31.03.2026 | USD 94.6543                                                                                                                   |



Part –II (Financial Details)

| ₹ in million |                                                  |                                                                                                                                                                                                                                              |                    |              |                   |             |          |                   |                        |                  |                   |                    |
|--------------|--------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|--------------|-------------------|-------------|----------|-------------------|------------------------|------------------|-------------------|--------------------|
| Sl. No.      | Name of the Subsidiary Company                   | Share Capital                                                                                                                                                                                                                                | Reserves & Surplus | Total Assets | Total Liabilities | Investments | Turnover | Profit Before Tax | Provision for taxation | Profit After Tax | Proposed Dividend | % of Share holding |
| 1            | Andhra Pradesh Granite (Midwest) Private Limited | 100.00                                                                                                                                                                                                                                       | 1307.60            | 1890.47      | 482.87            | -           | 2084.21  | 196.66            | 45.51                  | 151.15           | -                 | 88.99              |
| 2            | Midwest Neostone Private Limited                 | 87.10                                                                                                                                                                                                                                        | (98.14)            | 1708.00      | 1719.04           | -           | 18.40    | (89.65)           | (28.28)                | (61.37)          | -                 | 100.00             |
| 3            | AP Midwest Galaxy Private Limited                | 50.00                                                                                                                                                                                                                                        | 46.45              | 427.33       | 330.88            | -           | 158.69   | 63.21             | 16.00                  | 47.21            | -                 | 74                 |
| 4            | Deccan Silica LLP                                | 7.47                                                                                                                                                                                                                                         | (0.99)             | 6.57         | 0.09              | -           | -        | (0.05)            | -                      | (0.05)           | -                 | 75.00              |
| 5            | NDR Mining Co.                                   | 2.04                                                                                                                                                                                                                                         | (3.37)             | 0.77         | 2.10              | -           | -        | (0.41)            | -                      | (0.41)           | -                 | 98.00              |
| 6            | Baahula Minerals                                 | 4.00                                                                                                                                                                                                                                         | (28.43)            | 45.17        | 69.60             | -           | -        | (7.59)            | -                      | (7.59)           | -                 | 50.00              |
| 7            | Maitreya Minerals                                | (10.15)                                                                                                                                                                                                                                      | (5.29)             | 0.25         | 15.69             | -           | -        | (2.51)            | -                      | (2.51)           | -                 | 98.00              |
| 8            | BEML Midwest Limited                             | No Accounts were prepared since there was a Management dispute between the Joint Venture Partners i.e. Midwest Limited and BEML Midwest Limited and the case is pending for adjudication before the National Company Law Tribunal, Hyderabad |                    |              |                   |             |          |                   |                        |                  |                   | 54.91              |
| 9            | Trinco Mineral Sands Private Limited             | 25.54                                                                                                                                                                                                                                        | 2.67               | 28.43        | 0.22              | -           | -        | (0.04)            | -                      | (0.04)           | -                 | 97.92              |
| 10           | Midwest Heavy Sands Private Limited              | 32.94                                                                                                                                                                                                                                        | (5.37)             | 77.22        | 49.67             | -           | -        | (2.70)            | -                      | (2.70)           | -                 | 96.64              |
| 11           | Reliance Diamond Tools Private Limited *         | 10.34                                                                                                                                                                                                                                        | 19.47              | 90.01        | 60.20             | -           | -        | (0.96)            | 0.12                   | (1.08)           | -                 | 99.99              |
| 12           | Midwest Holdings Limited **                      | 130.12                                                                                                                                                                                                                                       | 269.00             | 1,262.63     | 863.51            | -           | -        | (4.94)            | -                      | (4.94)           | -                 | 100.00             |

\*Southasia Granite and Marble Private Limited, a step-down subsidiary Company through M/s. Reliance Diamond Tools Private Limited, Sri Lanka wherein the details were consolidated into the said M/s Reliance Diamond Tools Private Limited and presented in this statement.

\*\*The financial figures stated in item No.12 are special purpose audited consolidated figures of Step-down subsidiaries viz Maven Holdings Ltd, Mauritius, Midwest Africa LDA, Mozambique and Midwest Koriba LDA, Mozambique through M/s. Midwest Holdings Limited, Isle of man since there is no audit requirement in the home country i.e. Isle of Man and also in Mozambique.

Number of subsidiaries which have been liquidated or have ceased to be a subsidiary during the year.

| Sl. No. | CIN | Name of Subsidiaries |
|---------|-----|----------------------|
|         |     | NIL                  |

Part “B”: Associates and Joint Ventures

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

(₹ in million)

| Name of associates                                                            | *South Coast Infrastructure Development Company of Andhra Pradesh Limited |
|-------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| 1. Latest audited Balance Sheet Date                                          | 31.03.2026                                                                |
| 2. Date on which the Associate or Joint Venture was associated or acquired    | January 08, 2007                                                          |
| 3. No. of Shares of Associate held by the company on the year end             |                                                                           |
| A. Number                                                                     | 25,000                                                                    |
| B. Amount of Investment in ₹ in millions                                      | 0.25                                                                      |
| C. Extent of Holding%                                                         | 50                                                                        |
| 4. Description of how there is significant influence                          | Being 50% shareholder and having common directors                         |
| 5. Reason why the associate is not consolidated                               | NA                                                                        |
| 6. Net worth attributable to shareholding as per latest audited Balance Sheet | (3.85)                                                                    |
| 7. Profit/Loss for the year                                                   | (0.41)                                                                    |
| 8. Considered in Consolidation                                                | -                                                                         |
| 9. Not Considered in Consolidation                                            | (0.41)                                                                    |

\*The financial figures of M/s. S.C.R. Agrotech Private Limited, a subsidiary of M/s. South Coast Infrastructure Development Company of Andhra Pradesh Limited was consolidated and the details were mentioned accordingly.

REGISTERED OFFICE

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Place: Hyderabad  
Date: August 12, 2026

For and on behalf of the Board of Directors of  
**Midwest Limited (Formerly known as Midwest Private Limited)**  
(CIN : L14102TG1981PLC003317)

**Kollareddy Ramachandra**  
Whole time director & CEO  
DIN:00060086

**Dilip Kumar Chalasani**  
Chief Financial Officer

Place: Hyderabad  
Date: August 12, 2026

**Uma Priyadarshini Kollareddy**  
Whole time director  
DIN:02736184

**K. Achyutanand Reddy**  
Company Secretary  
M No: A44619